



Fiscal 2014

Third Quarter Results

Safe Harbor

Forward-Looking Statements

Except for the historical information contained herein, certain matters in this presentation including, but not limited to, statements as to: our intent to return capital to shareholders in fiscal 2015 and the form of return; and other predictions and estimates are forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995. These forward-looking statements and any other forward-looking statements that go beyond historical facts that are made in this presentation are subject to risks and uncertainties that may cause actual results to differ materially. Important factors that could cause actual results to differ materially include: global economic conditions; our reliance on third parties to manufacture, assemble, package and test our products; the impact of technological development and competition; development of new products and technologies or enhancements to our existing product and technologies; market acceptance of our products or our partners products; design, manufacturing or software defects; changes in consumer preferences and demands; changes in industry standards and interfaces; unexpected loss of performance of our products or technologies when integrated into systems and other factors. For a complete discussion of factors that could materially affect our financial results and operations, please refer to the reports we file from time to time with the SEC, including our Form 10-Q for the fiscal period ended July 28, 2013. Copies of reports we file with the SEC are posted on our website and are available from NVIDIA without charge. These forward-looking statements are not guarantees of future performance and speak only as of November 7, 2013, based on information currently available to us. Except as required by law, NVIDIA disclaims any obligation to update these forward-looking statements to reflect future events or circumstances.

Non-GAAP Measures

This presentation contains non-GAAP financial measures. A reconciliation of these non-GAAP financial measures to GAAP financial measures is at the end of this presentation.

Q3FY14 Highlights

Record quarter for
Quadro® and Tesla®

Increased dividend

GPU business up 4% YTD
despite PCs down 9%

Announced intent to
return further \$1bn in
FY2015

First Tegra® 4 phone -
Xiaomi Mi3
shipped 100k in 86sec

Launched flagship cards
GeForce® GTX™ 780 Ti
and Quadro® K6000

VMware now supports
NVIDIA® GRID

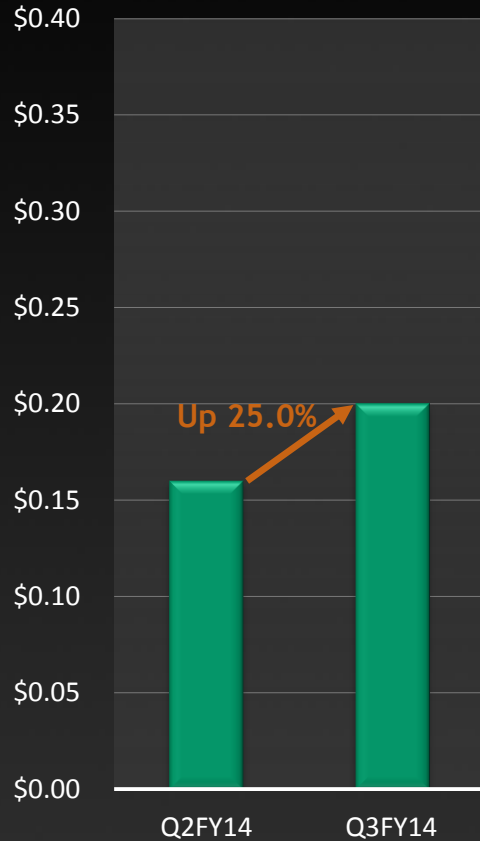
Introduced G-SYNC™
technology for gamers

Earnings

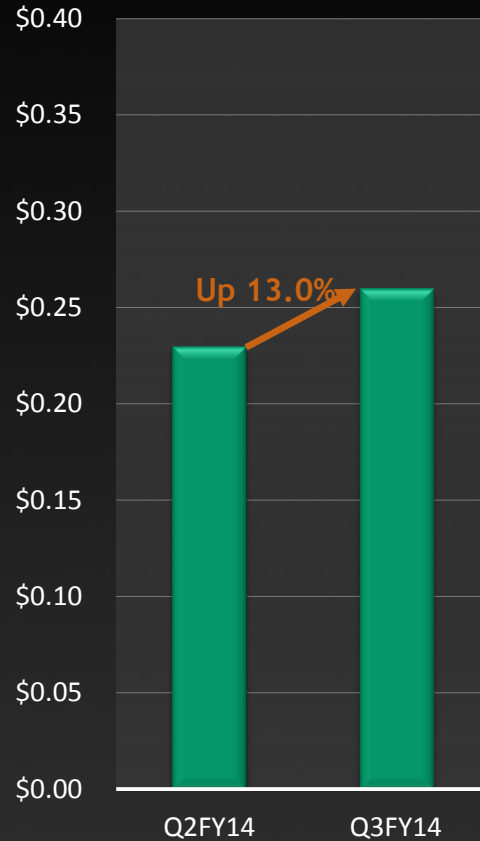
Quarter on Quarter

Year on Year

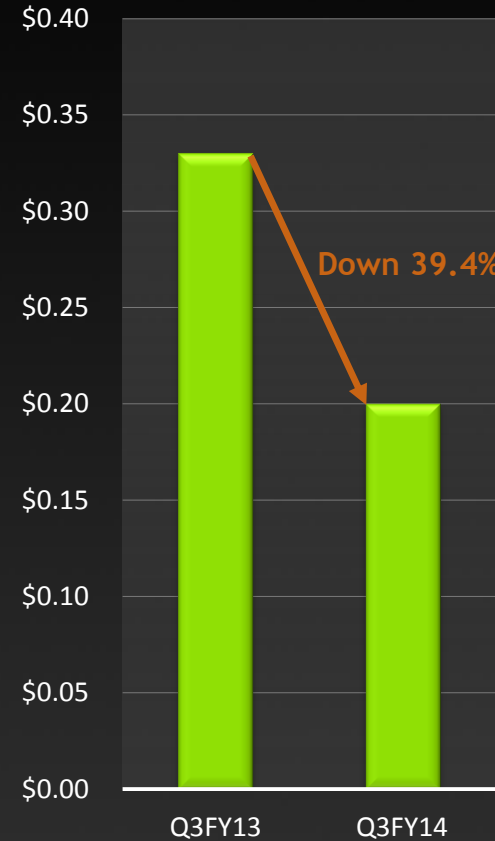
GAAP EPS



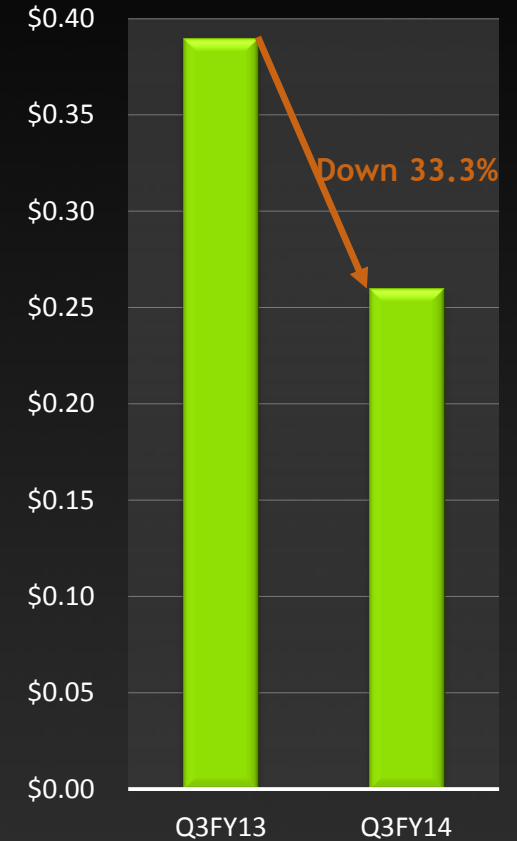
Non-GAAP EPS



GAAP EPS



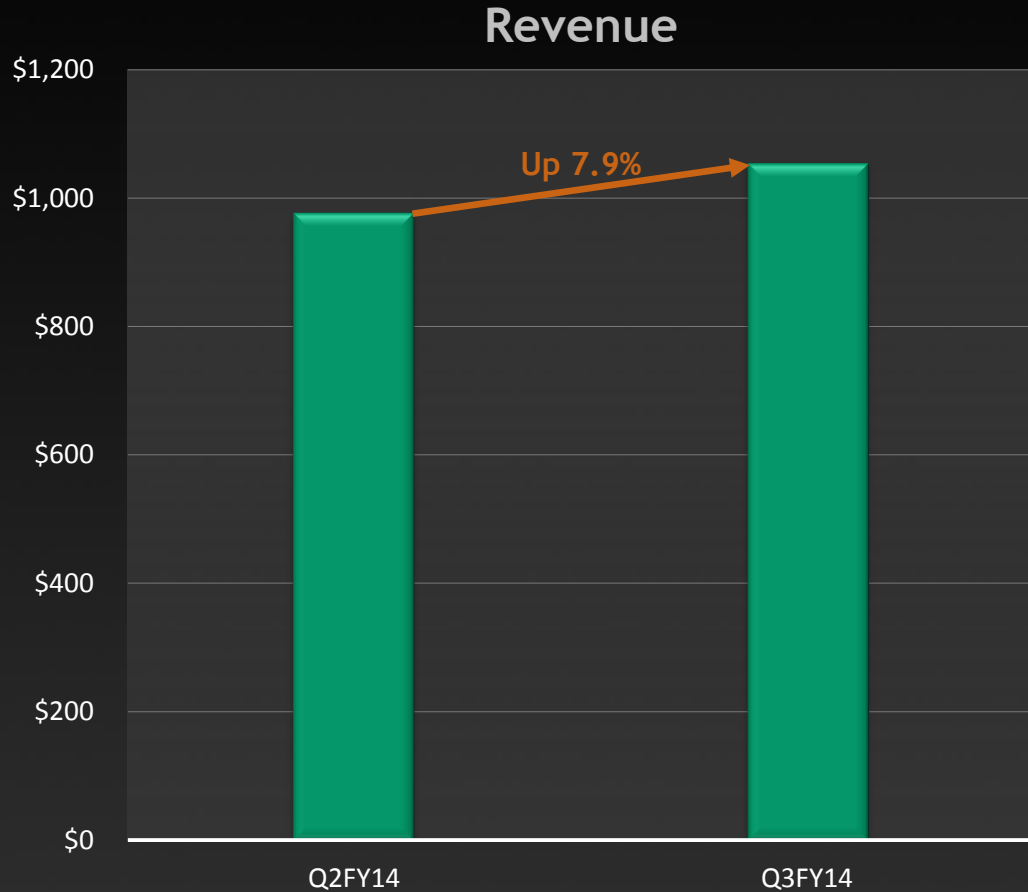
Non-GAAP EPS



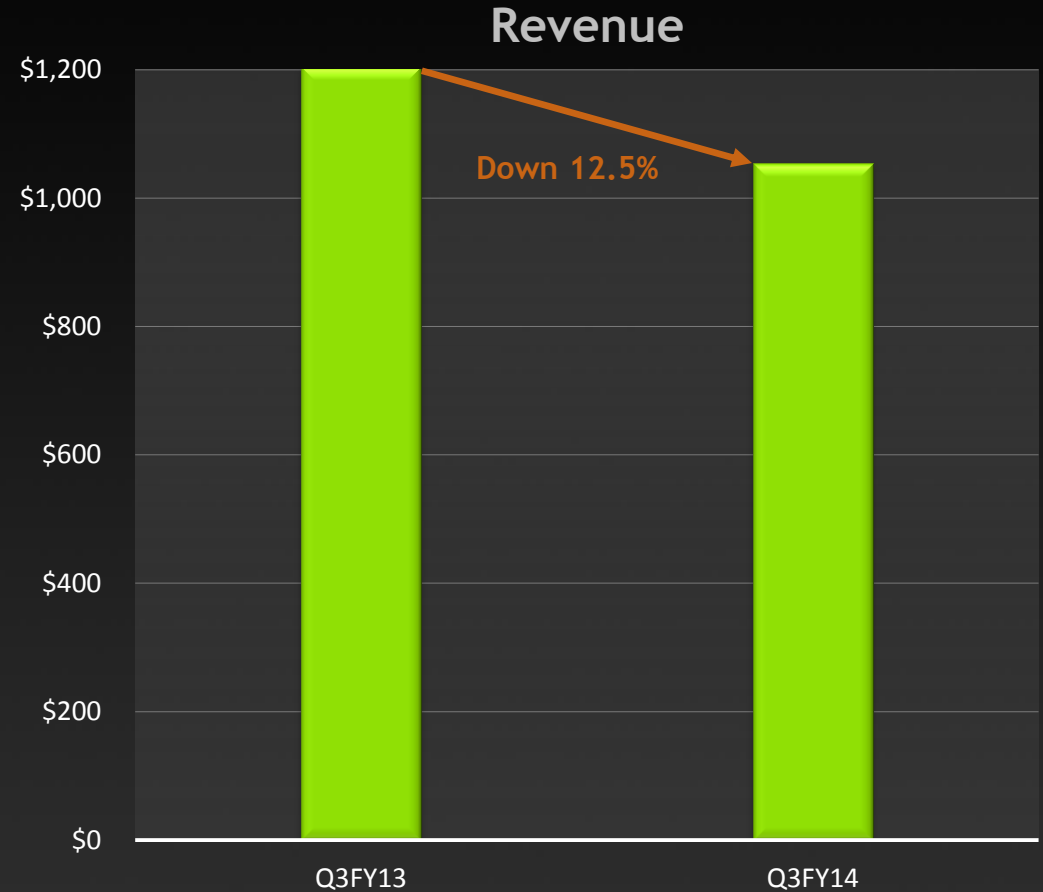
All numbers in this presentation are \$ millions, except EPS and dividend, or where otherwise indicated

Revenue

Quarter on Quarter

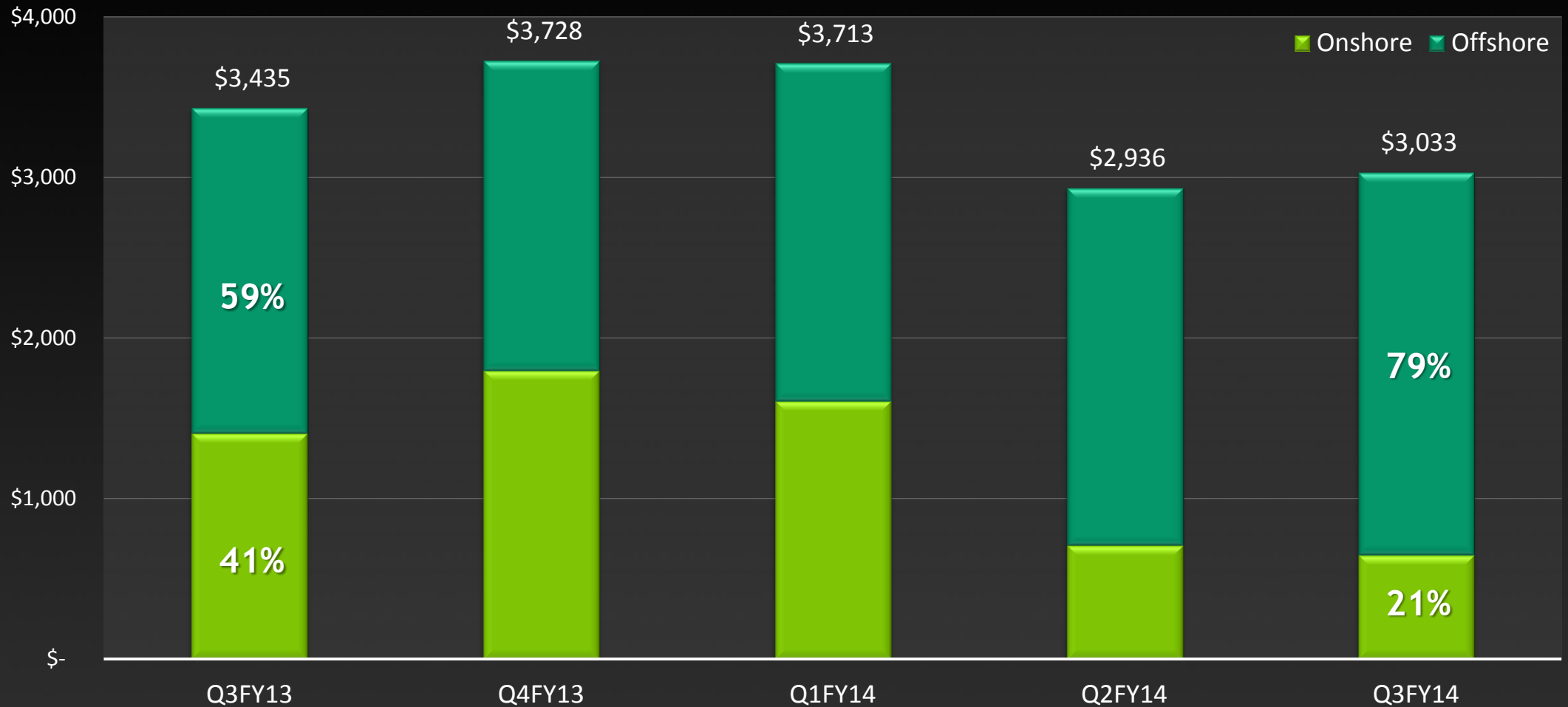


Year on Year



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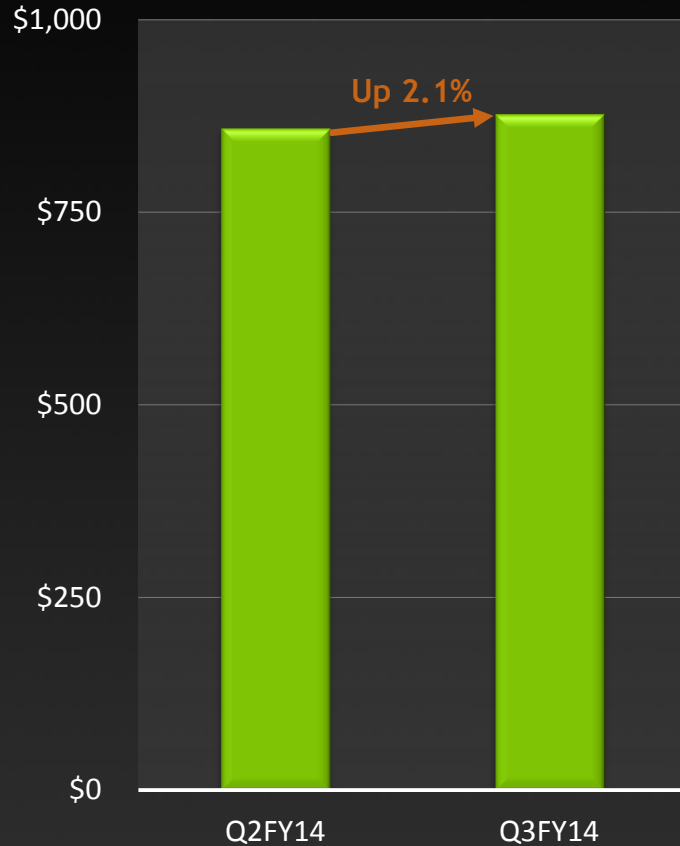
Cash and Investments



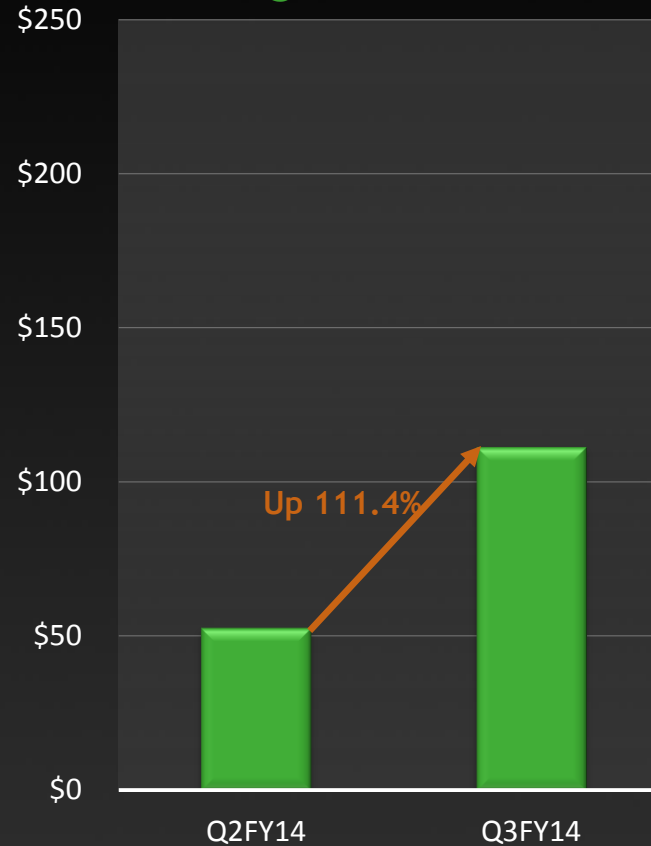
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Segment Revenue Performance Q/Q

GPU



Tegra Processor



Other



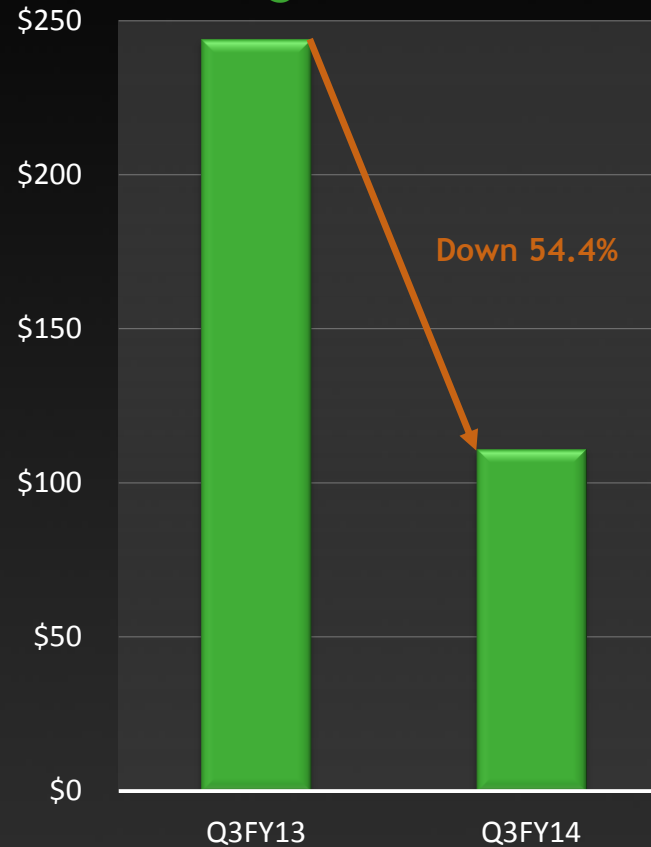
All numbers in this presentation are \$ millions, except EPS and dividend, or where otherwise indicated

Segment Revenue Performance Y/Y

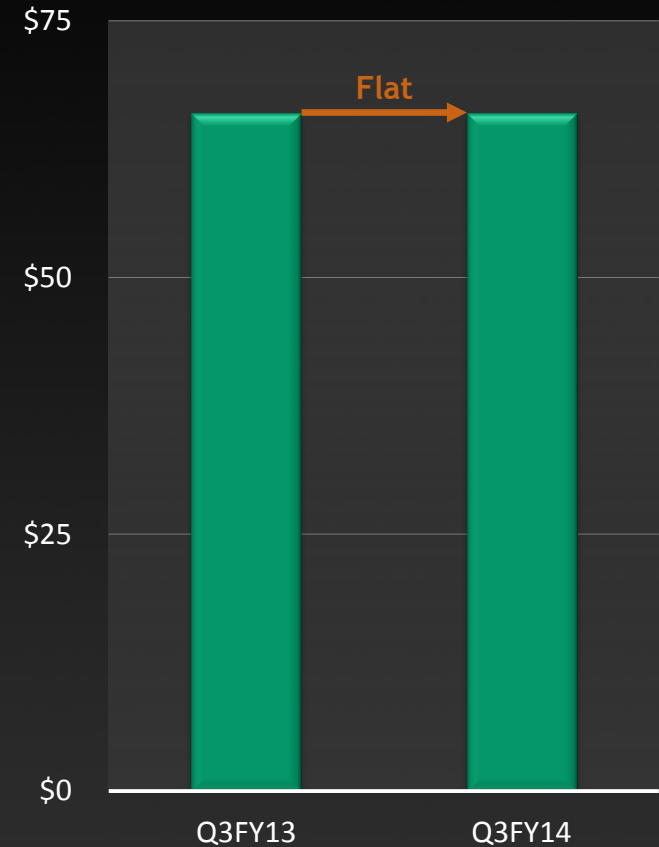
GPU



Tegra Processor



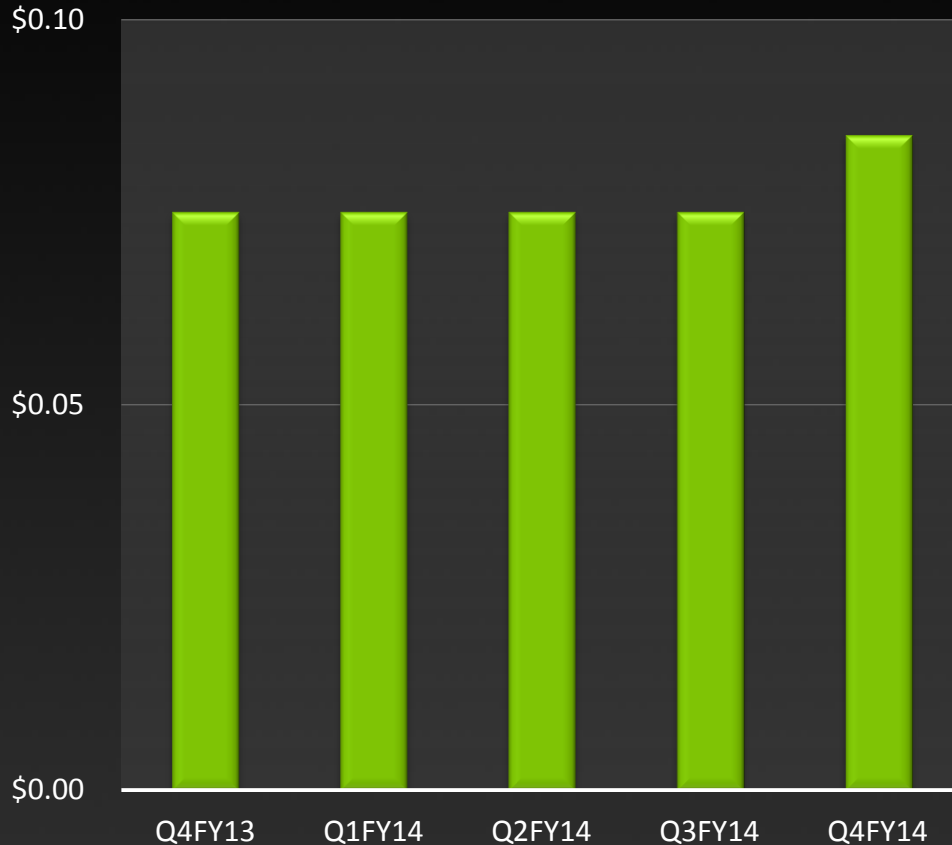
Other



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Cash Return

Quarterly Dividend Payments



- Quarterly dividend increased to \$0.085 per share
- Year to date, 59.5 million shares repurchased
- Intend to return \$1B in capital in fiscal 2015
- Stock repurchase program extended to Jan. 2016, increased to \$1.29bn

Reconciliation of GAAP to Non-GAAP Financial Measures

NVIDIA CORPORATION
RECONCILIATION OF GAAP TO NON-GAAP FINANCIAL MEASURES
(In thousands, except per share data)
(Unaudited)

	Three Months Ended		
	October 27, 2013	July 28, 2013	October 28, 2012
GAAP gross profit	\$ 584,415	\$ 545,538	\$ 636,658
<i>GAAP gross margin</i>	55.4%	55.8%	52.9%
Stock-based compensation expense included in cost of revenue (A)	3,090	2,168	2,489
Legal settlement	-	2,290	-
Non-GAAP gross profit	<u>\$ 587,505</u>	<u>\$ 549,996</u>	<u>\$ 639,147</u>
<i>Non-GAAP gross margin</i>	55.7%	56.3%	53.1%
GAAP operating expenses	\$ 443,427	\$ 440,004	\$ 384,441
Stock-based compensation expense included in operating expense (A)	(31,209)	(30,227)	(30,580)
Amortization of acquisition-related intangible assets	(4,906)	(3,980)	(4,402)
Other acquisition-related costs or credits (B)	329	(4,984)	(4,666)
Restructuring charge	(2,235)	-	-
Non-GAAP operating expenses	<u>\$ 405,406</u>	<u>\$ 400,813</u>	<u>\$ 344,793</u>
GAAP net income	\$ 118,734	\$ 96,448	\$ 209,080
Total pre-tax impact of non-GAAP adjustments	41,111	43,649	42,137
Income tax impact of non-GAAP adjustments	(6,055)	(6,767)	(5,755)
Non-GAAP net income	<u>\$ 153,790</u>	<u>\$ 133,330</u>	<u>\$ 245,462</u>
Diluted net income per share			
GAAP	<u>\$ 0.20</u>	<u>\$ 0.16</u>	<u>\$ 0.33</u>
Non-GAAP	<u>\$ 0.26</u>	<u>\$ 0.23</u>	<u>\$ 0.39</u>
Shares used in diluted net income per share computation	588,752	592,006	628,845
Metrics:			
GAAP net cash flow provided by operating activities	\$ 162,315	\$ 96,469	\$ 181,485
Purchase of property and equipment and intangible assets	(38,159)	(84,986)	(44,684)
Free cash flow	<u>\$ 124,156</u>	<u>\$ 11,483</u>	<u>\$ 136,801</u>

(A) Excludes stock-based compensation as follows:

	Three Months Ended		
	October 27, 2013	July 28, 2013	October 28, 2012
Cost of revenue	\$ 3,090	\$ 2,168	\$ 2,489
Research and development	\$ 20,902	\$ 18,555	\$ 20,056
Sales, general and administrative	\$ 10,307	\$ 11,672	\$ 10,524

(B) Consists of transaction costs, compensation charges, and other credits related to acquisitions.

